Teri believed she had perfect credit and was proud of her credit history. Her credit report was unblemished; not one late payment appeared. She felt she was a responsible twenty-two-year-old. Even though she only made the minimum payment on her credit cards every month, she still always paid on time. This perfect payment history allowed Teri to qualify for more and more credit and before she knew it, she had nine credit cards with a combined credit limit of $12,000. This amount equaled half of her yearly income as an administrative assistant. Even though all of the credit cards were at their limit, she was still able to make all her minimum payments each month without fail.

Teri often showed off her credit cards to her friends and wanted to impress them with how many she had. She was especially proud of her platinum and gold cards. She convinced herself that only valued customers could qualify for so much credit. Her memories of seeing adults with wallets full of credit cards confirmed the fact that she was finally an adult too.

Teri neglected to make the connection that her available credit line was now equal to her total debt since she had charged all her credit cards up to the limit. Her friend John tried to explain to her the cost of interest, but she didn't quite get it. To make his point, he showed her the last two statements from one of her credit cards. Even though she made a $10 payment, the balance did not go down correspondingly by $10 when she received the next month's bill. In fact, it went down by only $3. The rest went to pay the interest. That, John explained, was the cost of credit.

In fact, if Teri continued to make only the minimum payments of 2.5 percent on that one card's total debt of $2,500 without charging anything else, it would take her a total of fourteen years to pay off the debt at an interest rate of 15 percent. In addition, she would have paid an extra $2,377 in